

AI Leadership Returns, But 5% Yields Keep Breadth Narrow

Week ended Friday, September 25, 2026 | Outlook: September 28 - October 2, 2026

The market finished higher because AI-linked technology reasserted leadership, but the week was not a broad risk-on move. Long Treasury yields moved back above 5%, small caps lagged, financials weakened and rate-sensitive sectors remained under pressure. For the portfolio, semiconductor and AI holdings were the principal tailwind; JPM, AMT, energy exposure and small-cap value were the main offsets.

SPY proxy — week

+1.3%

Large-cap resilience

QQQ proxy — week

+3.2%

AI leadership

IWM proxy — week

-0.7%

Breadth lag

XLK — week

+3.5%

Best major sector

10Y Treasury

>5.1%

19-year high intraday

Portfolio baseline

52

43 positions + cash

EXECUTIVE CALL

A winning week with a narrower foundation than the headline indexes imply

The market’s central tension is now clear: AI earnings power and monetization remain strong enough to support large-cap technology even as long-term interest rates impose a higher valuation hurdle on the rest of the market. Monday’s AI surge pushed the Nasdaq to a record close as the 10-year Treasury briefly moved below 5%; by Friday, the 10-year had pushed above 5.1%, yet Microsoft and other AI-linked shares still carried the major indexes higher.¹³

AI demand regained market leadership.
Semiconductors and software led the advance. Monday’s Philadelphia Semiconductor Index rose 4.3%, and Friday’s Microsoft rally reinforced the view that AI spending is translating into product and revenue opportunities.¹³

Breadth remained weak.
QQQ gained roughly 3.2% on the week using IEX closes, versus about 1.3% for SPY and a 0.7% decline for IWM. Small-cap and rate-sensitive participation did not confirm the strength in mega-cap technology.

Rates remain the principal macro constraint.
The 10-year Treasury moved to a fresh 19-year high above 5.1% Friday, keeping pressure on real estate, utilities, towers and other duration-sensitive assets.⁴

Oil helped at the margin, but remains a risk variable.
Brent fell below \$100 early in the week and eased again Friday. Lower crude reduced immediate inflation pressure, but geopolitical supply risk remained embedded in pricing.¹³

Investment posture: constructive on earnings-backed AI and high-quality secular growth, but valuation discipline remains essential. The market is rewarding companies that can show monetization now; it is not broadly rewarding duration, leverage or economic sensitivity while the long end remains above 5%.

Regime dashboard

Dimension	Status	Investor read-through
Growth	Resilient	Capital-goods data and AI spending remain firm; no broad earnings recession signal.
Inflation	Elevated	Oil eased, but prior inflation data and Fed commentary keep policy restrictive.
Rates	Restrictive	10Y above 5% raises the discount-rate hurdle across equities and housing.
Liquidity / risk appetite	Selective	Capital is willing to chase AI winners, but not indiscriminately.
Breadth	Narrow	Small caps, financials and several defensives lagged.
Geopolitics	Elevated	Oil remains sensitive to Middle East negotiations and supply-route developments.

WEEK IN MARKETS

Technology dominated; energy and rate-sensitive sectors absorbed the pressure



Weekly proxy returns compare Sep. 18 and Sep. 25 Alpaca IEX closes. Friday's official index move was +0.51% for the S&P 500, +0.48% for the Nasdaq and +0.93% for the Dow.³

Sector proxies

ETF	Sector	Week
XLK	Technology	+3.5%
XLC	Communication services	+1.9%
XLV	Health care	+1.4%
XLI	Industrials	+0.4%
XLB	Materials	-0.4%
XLY	Discretionary	-0.4%
XLP	Staples	-0.9%
XLF	Financials	-1.9%
XLRE	Real estate	-2.3%
XLE	Energy	-3.5%
XLU	Utilities	-3.8%

What drove the tape

Monday: AI reset.

Nasdaq +2.26%, S&P 500 +1.49%; AMD entered the \$1 trillion club, semiconductors surged and Meta jumped 11.4%.¹

Tuesday: divergence appears.

The Nasdaq reached another intraday record while large banks weakened; JPMorgan and Wells Fargo were down roughly 4% intraday amid earnings concerns.²

Late week: yields retighten.

The long end rose sharply, putting renewed pressure on duration-sensitive sectors even as AI shares held up.

Friday: AI wins the tug-of-war.

Microsoft rallied after expanding Copilot capabilities; equities finished higher despite a 10-year yield above 5.1%.³⁴

Interpretation: the market is not pricing a broad growth collapse. It is repricing the relative value of earnings duration. Near-term, companies with visible AI monetization can outrun the discount-rate headwind; less differentiated long-duration assets cannot.

PORTFOLIO IMPLICATIONS

Your AI and semiconductor sleeve was the week’s primary shock absorber

The canonical PCC manifest identifies **retirement-portfolio-52.xlsx**, designated September 25, as the sole authority for holdings and static portfolio data. The workbook has no internal as-of date in the manifest; the derivative holdings snapshot contains 43 positions and \$43,000 of cash.

Holding / exposure	Week	Read-through
QCOM	+13.5%	Largest listed portfolio winner among the sampled holdings; AI/semiconductor enthusiasm broadened beyond the most obvious leaders.
META	+12.9%	Muse adoption and monetization optimism supported a major rerating during the week. ¹
SOXQ	+6.2%	Semiconductor breadth strengthened materially.
MSFT	+4.7%	Friday’s Copilot product expansion reinforced monetization confidence. ³
TSM / ASML	+3.9% / +3.8%	AI infrastructure demand continued to support leading-edge capacity and equipment exposure.
GEHC / DIS	+3.9% / +3.4%	Helpful idiosyncratic diversification outside the core AI sleeve.
JPM / GS	-1.9% / -0.7%	Bank weakness limited participation despite higher long rates; earnings sensitivity remains an important checkpoint. ²
AMT	-2.9%	Higher long rates remain a direct valuation headwind for tower/REIT duration.
AVUV	-1.2%	Small-cap value lagged mega-cap growth; diversification benefit remains strategic, but near-term leadership is elsewhere.
XOM	-1.6%	Easing crude prices reduced the immediate commodity tailwind.

What strengthened.

The AI capital-spending thesis remains intact across MSFT, META, TSM, ASML, NVDA, QCOM and SOXQ. Importantly, leadership was not confined to one chipmaker.

What weakened.

Portfolio breadth did not improve. Financials, AMT and small-cap/value holdings remain sensitive to a higher-for-longer yield regime.

What is unchanged.

The \$43,000 cash position remains valuable optionality while macro data can still move the 10-year sharply in either direction.

What deserves research.

Whether QCOM’s outsized move reflects a durable earnings revision or primarily multiple expansion; and whether AMT’s valuation now adequately compensates for a 5%+ long-rate regime.

CIO read-through: no portfolio-wide action is compelled by this week alone. The better question is whether the AI winners have generated enough incremental fundamental value to justify higher prices, while rate-sensitive laggards may be approaching more attractive expected returns if yields stabilize.

MACRO & CROSS-ASSET

The long bond, not the Fed meeting, is now the immediate valuation gatekeeper

Growth remains adequate.

Friday’s durable-goods detail showed core capital-goods orders pointing to robust August business investment, reinforcing the idea that growth has slowed less than the bond market would need for an easy disinflation trade.³

Policy remains restrictive.

Fed officials continued to emphasize inflation risks during the week. The market therefore has limited room to count on rapid policy relief while demand remains resilient.

Oil is the swing inflation input.

Brent’s move below \$100 early in the week was a welcome easing impulse, but the market continues to treat Middle East supply routes as a macro variable rather than a background headline.¹

Risk appetite is bifurcated.

AI equities can rally with a 5%+ 10-year yield, but utilities, REITs and small caps are not confirming a broad easing in financial conditions.

Decision framework

Signal	Constructive interpretation	Adverse interpretation
10Y Treasury	Stabilizes below 5.0%; allows multiple pressure to ease.	Sustains above 5.2%; likely broadens valuation compression.
Oil	Brent holds below \$100 and supply fears recede.	Returns above recent highs; inflation expectations reaccelerate.
Small caps	IWM begins outperforming SPY; healthier breadth.	Persistent underperformance signals tighter domestic conditions.
AI complex	Revenue/product evidence continues to validate capex.	Good news stops producing positive price reactions.
Credit	Spreads remain orderly despite higher Treasury yields.	Credit spreads widen materially alongside higher risk-free rates.

Key portfolio risk: simultaneous higher real yields and weaker AI monetization would attack both sides of the current portfolio leadership equation — the discount rate and the earnings-growth premium. That combination matters more than any single macro print.

CATALYST CALENDAR

Next week is a labor-and-inflation test with direct implications for the 10-year yield

Date / time ET	Catalyst	Why it matters
Tue Sep. 29 — 10:00	JOLTS — August	Tests whether labor demand is cooling enough to offset persistent inflation pressure. ⁵
Wed Sep. 30 — 8:30	Personal Income & Outlays — August	Includes the PCE inflation data; the most important macro release for the rates/valuation debate. ⁶
Wed Sep. 30 — 8:30	Q2 GDP third estimate / corporate profits	Confirms the growth and profit backdrop feeding earnings expectations. ⁶
Thu Oct. 1	ISM Manufacturing	Watch new orders and prices-paid for evidence of growth/inflation mix changes.
Fri Oct. 2 — 8:30	Employment Situation — September	Payrolls, unemployment and wages can reset the path of long yields into the following week. ⁷

Three market scenarios

1 — Controlled cooling

Best broadening setup.

JOLTS and payrolls cool without a labor break, PCE is contained and the 10-year drifts below 5%. Small caps and rate-sensitive holdings should participate more fully.

2 — Hot growth / sticky inflation

Current pressure regime persists.

Firm PCE and labor data push the 10-year toward or above 5.2%. AI leaders may still work, but portfolio breadth likely remains narrow and AMT/small caps stay constrained.

3 — Growth scare

Rates fall for the wrong reason.

Sharp labor deterioration lowers yields but raises earnings risk. High-quality secular growth may outperform, while financials, cyclicals and small caps could weaken further.

Research candidates — proposals, not assignments

Subject	Observation	Decision question	Priority
QCOM	+13.5% weekly move; largest sampled portfolio winner.	Did forward earnings/AI handset-PC-auto expectations rise enough to justify the rerating?	High
AMT	-2.9% with 10Y >5%.	At what yield/valuation does the tower cash-flow profile become compelling versus bonds?	Medium
JPM / financials	Weak despite higher yields.	Are earnings/capital-market concerns becoming more important than net-interest-income support?	Medium

WHAT TO WATCH

Four questions to carry into the next Portfolio Review

1. **Can the 10-year hold below 5.2%?** A sustained break higher would be a materially different valuation regime than the one that supported the summer rally.
2. **Does AI leadership broaden beyond a handful of names?** The portfolio benefited this week from QCOM, META, TSM, ASML, MSFT and SOXQ, but durable market health requires more than one factor.
3. **Do small caps begin to confirm resilient growth?** Continued AVUV/VTWO and IWM underperformance would signal that financing conditions remain restrictive for the domestic economy.
4. **Does lower oil persist?** A durable move below \$100 Brent would improve the inflation mix; renewed supply stress would quickly reverse that benefit.

Bottom line: this was a constructive week for the portfolio's strongest secular exposures, not a clean all-clear for the market. The earnings side of the AI thesis strengthened, while the discount-rate side of the valuation equation became more demanding. Next week's PCE, JOLTS and payrolls will determine which side wins.

Sources

1. Reuters — Nasdaq notches record-high close, AI optimism reignites and Treasury yields retreat, Sep. 21, 2026.
2. Reuters — Nasdaq hits intraday record high on tech boost; bank weakness limits broader gains, Sep. 22, 2026.
3. Reuters via Fidelity — Wall Street edges higher on AI enthusiasm; Microsoft expands Copilot, Sep. 25, 2026.
4. Reuters via MarketScreener — Wall Street ends higher; 10-year Treasury reaches a fresh 19-year high above 5.1%, Sep. 25, 2026.
5. U.S. Bureau of Labor Statistics — JOLTS release schedule.
6. U.S. Bureau of Economic Analysis — Sep. 30 GDP and Personal Income & Outlays release schedule.
7. U.S. Bureau of Labor Statistics — Employment Situation release schedule.
8. Alpaca IEX daily bars, Sep. 18–25, 2026, for ETF proxy and portfolio-holding price-return calculations. IEX proxy closes can differ modestly from consolidated official closes.
9. Portfolio Command Center agent-state manifest and holdings derivative for retirement-portfolio-52.xlsx. Workbook SHA-256: bd169348be227c879a4d46233173c5d2b16dd0cebd32a509b7deec98d1fda31b.

Methodology & limitations: Market and portfolio price returns are calculated from Alpaca IEX daily closes and are intended as decision-support proxies, not audited performance. Mutual-fund NAVs are excluded from weekly price-move tables because current official NAVs were not required for this market-intelligence lens. Static holdings, quantities and cash derive from the PCC canonical workbook state. Facts and analyst interpretation are deliberately separated; research candidates are proposals and not final Portfolio Decisions.